

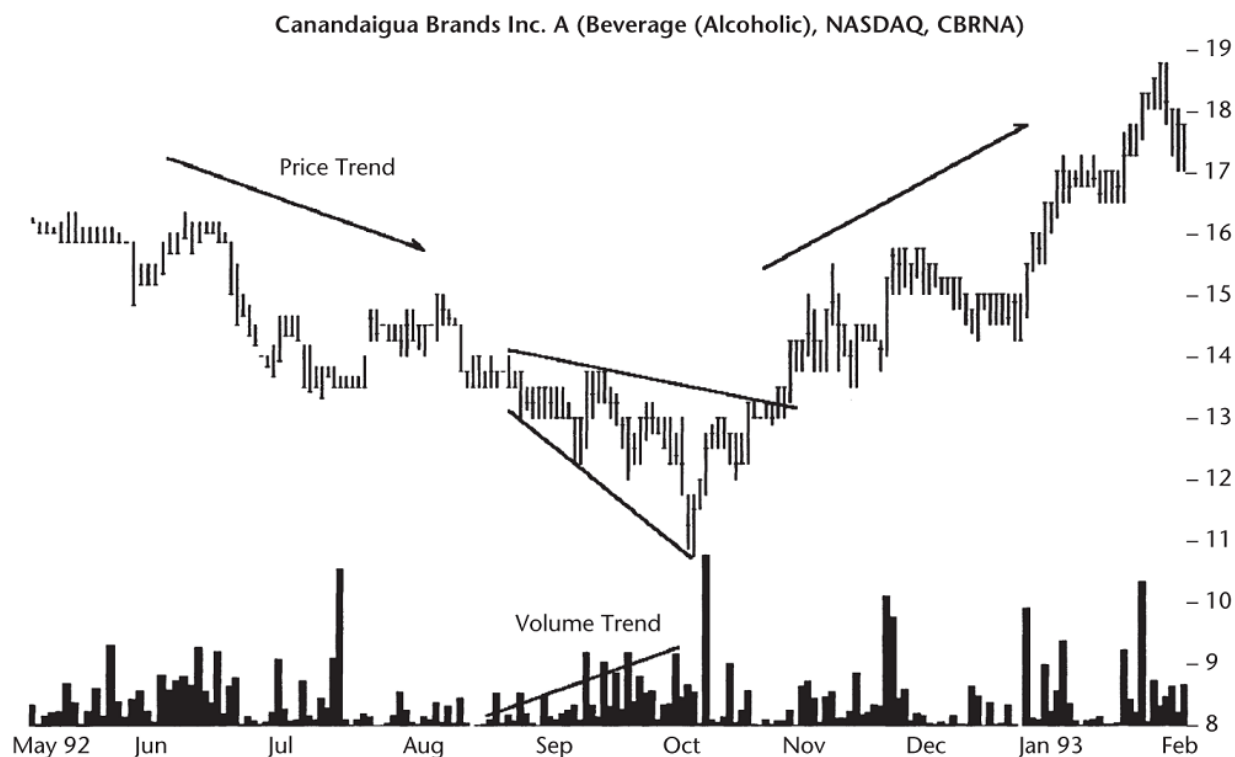


Figure 13.2 This descending broadening wedge acts as a reversal of the intermediate-term downward trend.

Table 13.1 Identification Guidelines

Characteristic	Discussion
Appearance	The formation looks like a megaphone tilted down.
Trendlines	Both trendlines slope downward, with the lower trendline having a steeper slope. Thus, the two lines diverge.
Touches	Wedges require at least five touches, three of one trendline and two of the other with each touch being a minor high or minor low. If price cuts through a trendline, then it doesn't count as a touch.
Whitespace	Select patterns where price crosses the wedge from top to bottom frequently, filling the whitespace.
Volume	Usually rises over the length of the wedge. However, don't discard a pattern because it has an unusual volume trend.